

DEMO ROADS DEVELOPMENT AUTHORITY

Comprehensive Bribery and Corruption Risk Assessment Report

FY 2026/2027 - prepared using the EACC Practical Guide for Corruption Risk Assessment and Management (Appendix III(a) format)

Institution	Demo Roads Development Authority (DRDA), Institution ID DEMO-006
Document reference	DRDA/ABC/CRA/2026-27/v1.0
Version / status	Version 1.0 - ACTIVE (no predecessor)
Assessment period	Fieldwork 10 - 28 August 2026; covers operations for FY 2026/2027
Approval	Recommended by the CPC at its Q1 meeting of 23 September 2026 (Min. CPC/04/Q1/2026-27); approved by the Accounting Officer on 24 September 2026
Effective from / to	24 September 2026 to 30 June 2027 (or until superseded)
Prepared by	IAO Committee, coordinated by Mr. Kelvin Omondi

Evidence category: Risk-assessment evidence (Sub-indicator 2). Submitted to the oversight portal on 28 September 2026, before the 30 September 2026 foundation deadline.

1.0 Context of the assessment

This assessment was conducted after the Authority's Procedures for the Prevention of Bribery and Corruption were approved (Board Resolution DRDA/BD/RES/2026/044) and as a precondition for the FY 2026/2027 corruption prevention performance contract indicator. In FY 2025/2026 the Authority approved 23 variation orders worth KES 214 million (2.3% of portfolio value); an internal audit found that 9 of them were approved by the project directorate that initiated them, without any review by staff independent of the contract.

2.0 Scope: core and support functions

Category	Functional areas assessed
Core mandate	Road planning and design; tendering and evaluation of works; contract administration and variations; measurement and payment certification; materials testing and quality assurance; right-of-way acquisition and compensation.
Support services	Supply chain (non-works); human resource (recruitment); finance (payments); ICT (contract management system); fleet, fuel and stores.

3.0 Methodology

The IAO Committee reviewed process maps, interviewed 37 staff across the eleven functional areas, examined complaints, audit reports and the FY 2025/2026 variation files, and held two validation workshops with heads of department. Each risk is scored on the declared 1-5 scales below; severity score = Probability x Impact (1-25).

Score	Probability (Pr)	Impact (Im)
1	Rare - not expected in the year	Negligible - no service, cost or reputational effect
2	Unlikely - could occur once in the year	Minor - isolated, quickly corrected
3	Possible - may occur a few times	Moderate - cost overrun or quality affected on one contract
4	Likely - occurs regularly	Major - significant financial loss, unsafe works or media attention
5	Almost certain - occurs frequently	Severe - systemic loss, structural failure or legal liability

Severity bands: High 15-25; Medium 6-12; Low 1-5.

4.0 Risk register (Appendix III(a): Corruption Risk Assessment)

Name of Institution: **Demo Roads Development Authority** FY: **2026/2027** Corruption Risk Assessment

S. No	Functional area	Identified corruption risk (what could go wrong)	Risk source (why would the risk event occur)	Pr (1-5)	Im (1-5)	Score (Pr x Im)	Band	Existing controls
R-01	Contract administration - variations (Core)	Inflated contract variations: unjustified or over-priced variation orders approved in exchange for kickbacks from contractors.	Variations initiated and approved within the same project directorate; no independent technical or cost review; emergency path undefined.	4	5	20	High	Director's approval; Contract Administration Manual (no independence requirement).
R-02	Procurement approvals (Support)	Weak oversight of procurement approvals: purchases approved above delegated limits, without budget confirmation, or split to stay below quotation thresholds.	Approvals checked only at payment; no routine sample review of approvals; delegation register not enforced in the e-procurement workflow.	4	4	16	High	Delegation of authority instrument; IFMIS commitment control (bypassed for direct LPOs).
R-03	Tendering and evaluation of works (Core)	Bid-rigging or tailored specifications in favour of a connected bidder.	Small pool of evaluators; declarations of interest not consistently minuted.	3	5	15	High	PPADA procedures; e-procurement; evaluation committee declarations.
R-04	Materials testing and QA (Core)	Falsified test results to pass sub-standard materials.	Site laboratories staffed by contractor; QA spot checks irregular.	3	4	12	Medium	Central laboratory confirmatory tests on 10% of samples.
R-05	Right-of-way acquisition (Core)	Inflated compensation or payment to fictitious claimants.	Manual valuation records; limited verification of claimant identity.	3	4	12	Medium	Valuation committee; public notice of claimants.
R-06	Human resource - recruitment (Support)	Undue influence in shortlisting and interviews.	Panel composition at management discretion.	3	4	12	Medium	HR policy; panel declaration forms.
R-07	Finance - payments (Support)	Irregular or duplicate payments to suppliers.	Manual vouchers for small claims.	2	5	10	Medium	IFMIS workflow; segregation of duties; internal audit.
R-08	ICT - contract management system (Support)	Unauthorised edits to contract or variation records.	Shared administrator accounts; no log review.	2	4	8	Medium	Password policy.
R-09	Fleet and fuel (Support)	Fuel siphoning and false mileage claims.	Manual fuel cards register.	2	3	6	Medium	Monthly fuel reconciliation.
R-10	Stores and assets (Support)	Diversion of road signage and materials stock.	Periodic counts only.	2	3	6	Medium	Stores ledger; annual board of survey.

5.0 Summary of results

Band	Risks	Count
High (15-25)	R-01 (20), R-02 (16), R-03 (15)	3
Medium (6-12)	R-04 (12), R-05 (12), R-06 (12), R-07 (10), R-08 (8), R-09 (6), R-10 (6)	7
Low (1-5)	-	0

6.0 Assessment of existing controls

Existing controls for R-01 rely on approval by the same directorate that initiates and supervises the works. They give no independent check of whether a variation is needed, correctly measured or fairly priced, and there is no defined route for emergency variations. Controls for R-02 operate only at payment, after the commitment is made, and nobody samples approvals for compliance with delegated limits. Controls for R-03 and the support functions are largely system-enforced and are rated adequate subject to staff awareness of the new Procedures.

7.0 Recommendations to the Mitigation Plan

- Require an independent review record (IVRP-1) for every contract variation before approval, and test the control each quarter through an Internal Audit exception review (treats R-01).
- Spot-check a sample of procurement approvals each quarter from Q2 and record the findings (treats R-02).
- Train the named staff in affected functions on the Procedures in Q1 (treats R-01 and R-02).
- Continue existing controls for R-03 and R-06 to R-10 and monitor them at each quarterly CPC meeting.
- Hold quarterly IAO Committee and CPC meetings to track implementation and approve reports to the Commission.

8.0 Approval

Name	Designation / role	Signature	Date
Mr. Kelvin Omondi	Chair, IAO Committee (prepared)		18 Sep 2026
Eng. Margaret Wairimu	Accounting Officer (approved, on CPC recommendation Min. CPC/04/Q1/2026-27)		24 Sep 2026